Speculative Buy

Level: Advanced
Prerequisites: #1 – Basic Strategy

Speculative Buy signals depend mostly on the MoM indicator and allow us to buy closer to major lows, well before a standard Buy signal (per the basic strategy, PDF #1) occurs.

SpBuy signals also open up possibilities for more active trading with short holding periods of just a few days. More on that below. Let's first have a look at the different steps to take.

Selecting the best candidates

SpBuy signals are not rare. We have to be selective. To see all the spBuy signals we can go to the "All" tab in the daily tables and type "spbuy" in the search box. You can also do it in "S&P 500" tab, if you want to avoid the small caps. Sorting them by R value (click on "R" header twice), we get something like this:

Daily reversal levels for December 13, 2025.

Quick start instructions Show Me

Settings Show Me

My1 My2 My3 My4 My5 All Index Nas 100 S&P 500 S&P 400 S&P 600 ETF US other Forex Crypto Stats

Show 25 entries Search: spBuy

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Halozyme Therapeutics	HALO	62.21	1		68.09	-7.71 ▲	9	+8.51%	spBuy+	0.33▷ 15
Xcel Energy Inc	XEL	75.15	0		78.87	-7.94 ▼	9	+6.06%	spBuy+	0.19▷ 8
American Electric Power Co	AEP	114.13	46		119.38	-7.39 ▼	8	+4.28%	spBuy	0.13▷ 4
Teekay Tankers	TNK	53.59	32		58.09	-6.96 ▲	11	+7.92%	spBuy	0.09▷ 3
Clearway Energy	CWEN	32.41	9		34.63	-7.64 ▼	6	+4.87%	spBuy+	-0.12▼ 14
CenterPoint Energy	CNP	37.84	0		39.02	-6.65 ▼	9	+3.67%	spBuy	-0.23▼ 7
FirstEnergy Corp	FE	44.26	0		46.13	-7.11 ▼	8	+3.24%	spBuy	-0.25▼ 25
ONE Gas Inc	OGS	76.93	0		80.13	-7.18 ▼	8	+6.54%	spBuy	-0.30▼ 23
Ameren Corporation	AEE	97.27	1		101.98	-8.32 ▼	9	+5.94%	spBuy+	-0.31▼ 15
W.R. Berkley	WRB	69.33	1		73.47	-9.18 ▲	9	+4.43%	spBuy	-0.32▼ 14

A few general points to understand:

1 - SpBuy signals can happen for several days in a row. Sometimes the MoM indicator is still going down and then we can still wait another day or two. Here we see MoM already turns up for HALO and TNK.

2 - Stocks with spBuy signals are typically below their most recent Sell price (see P/L% column), and that means spBuy signals present chances to buy our stock back cheaper (if we sold it on the previous Sell signal). In the example table HALO is 8.5% cheaper versus our Sell price of 9 days ago, and that's why the P/L% column shows "+8.51%".

3 - Stocks on spBuy signals can have a positive or negative R value. The candidates with a positive R are generally better quality, which is why it's good to sort them by R. But it's useful to check out on what kind of news a candidate stock has declined recently.

Maybe the entire market has declined and there is no specific bad news for the given stock. Or the entire sector to which the stock belongs is known to be under pressure. Or, there was some specific news announcement that caused the decline in that stock.

In the latter case it's important to ask a few questions: is the bad news a temporary problem or a long term issue that may not go away soon? Is all the bad news fully priced in? Or still being digested? Or has there been an overreaction?

Use common sense. We can also ask Grok (or other good AI) about why that stock is down and we will get a detailed report. (see PDF #2 for good ways to question AI)

4 – SpBuy+ and spBuy++ are signals that satisfy a few extra criteria, which makes them better candidates for a medium or longer term bottom, and thus a potential longer term trade.

So, besides the spBuy signals with more positive R values, the spBuy+ and spBuy++ signals are always worth checking out too, even if their R value is negative.

A quick look at the Rela chart (hover or tap on the stock's name) can be a way to select the better candidates visually. If a stock has been lagging the SPX for years on end, then it's a probably a long term underperformer. It's better to focus on spBuy signals in stocks with a more solid history, or with indications that a business turnaround is taking place.

Cyclical stocks and sectors tend to alternate periods of strong R with periods of weak R. That's something to take into account as well. Taking a spBuy when a period of weak R is ending can be highly profitable.

Opening spBuy trades

With those remarks in mind, let's get into some practical examples.

If a spBuy signal appears in our stock watchlist, or we found an attractive candidate by sorting the datatables, it doesn't mean we have to buy it asap at the next Open. We can be a bit more strategic and patient.

There are two typical situations:

1 – spBuy with MoM still going down.

In that case we can monitor the stock, ready to buy on weakness. We can also put in a low buy limit order. Another approach is to wait until a so-called "bullish hammer" candle gets printed. It is quite common for a bullish hammer to appear when a stock is at spBuy.

2 – spBuy with MoM already going up.

In that case the stock is probably starting to go up already, or is at the verge of doing so. Then we can decide to buy without waiting any longer, and join in at the best entry price we can grab. Just don't overpay. Use a Buy Limit order. Sometimes we are too late and we have to let the stock go.

Deciding what to aim for

The "spBuy" signals indicate oversold conditions, so we look for a rebound rally to start pretty quickly (often within a week). How much of a rebound can we expect?

The distance from current price to RevL gives us a rough estimate of the quick potential. Once a stock starts a rebound rally it typically aims for its reversal level. Using the examples of HALO and XEL from the table at the start of this article:

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Halozyme Therapeutics	HALO	62.21	1		68.09	-7.71 ▲	9	+8.51%	spBuy+	0.33▷ 15
Xcel Energy Inc	XEL	75.15	0		78.87	-7.94 ▼	9	+6.06%	spBuy+	0.19▷ 8

HALO closed at $62.21, with the RevL at $68.09. That's an almost 10% space to move into now that MoM is turning up for this stock.

XEL closed at $75.15. with the RevL at $78.87. In this case the RevL is only 5% away, but MoM still points down.

That doesn't mean one is better than the other. Everything else being equal (which is never the case), HALO could have a 7% rebound and still be in bearish mode, while XEL would be above its RevL if it rallies 7%, and that would be a standard Buy signal and a change to bullish mode.

So we can use spBuy for two different purposes: as a "quick trade" or as an "early entry" for a longer term trade.

Quick Trade

For a quick trade we generally choose a stock with enough room to run before it tests the RevL. That would be HALO here. If we can grab a portion of that potential 10% rally then it would be a nice quick trade. For this purpose we use the QuickTarget and/or the Opportunist (price). We can instantly see those price targets by hovering (or tapping) above the RevL price. That gives this popup:

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Halozyme Therapeutics	HALO	62.21	1		**68.09**	-7.71 ▲	9	+8.51%	spBuy+	0.33▷ 15

QuickTarget Sell Limit: 64.56
Opportunist Sell Limit: 65.74

HALO has a QuickTarget of $64.56 and an Opportunist Sell Limit of $65.74. If we buy (or bought) HALO on this spBuy signal, then we can set a Sell Limit order at the QuickTarget price. Our stock will be sold as soon as that price is reached during the next day. That would make a quick 4%.

If the limit price is not reached today, then we will adjust our Sell Limit order with the new QuickTarget price tomorrow. This is less complicated than it may sound. We just update our Sell order price every day before the Open.

Early entry

Let's look at XEL, our second example:

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Xcel Energy Inc	XEL	75.15	0		**78.87**	-7.94 ▼	9	+6.06%	spBuy+	0.19▷ 8

QuickTarget Sell Limit: 76.64
Opportunist Sell Limit: 77.38

Here the QuickTarget at $76.64, with the stock at $75.15. That's only 2% above the current price. This spBuy is a candidate for an early entry trade.

If MoM turns up it will not take much of a rally to get above $78.87. That would get us into a normal Buy trade from a lower entry point. So in this case we do not use the QuickTarget and aim for the stock to go into bullish mode soon. This not an iron rule, of course. If you want to gun for a 2% profit with QuickTarget, nobody will stop you.

We can also stretch it and use the Opportunist Sell Limit as our target. That is $77.38 in this example. That would make for a 3% gain. The Opportunist price is normally used for entries (see "The Opportunist" strategy, PDF #6). But we can decide to use it instead of the QuickTarget. The Opportunist is just a more aggressive or greedy version of the QuickTarget. There is no shame in that. We can aim for the QT or the OP price, depending on how good we feel about the given stock. This is where gut feeling or experience can come in.

Handling losses

Inevitably, we will also have to handle trades that do not go our way and cut some losses. When we take a spBuy trade we want that stock to act right pretty quickly. If MoM is not going up yet, then we want it to bottom out and start climbing. That's an important step.

As soon as MoM points up the stock is likely to start a rebound, but that can also become a weak sideways in which our QuickTarget price is never reached. So, we have to keep our eyes open and reassess every day. The charts inside our tables (hover or tap on the stock's ticker) give us an instant look how MoM is evolving. There are several common scenarios to remember:

1 – MoM turns up from its low and starts going up at a healthy clip with the stock going up as well.

That's the situation we hope for and then we can hold on until our QuickTarget sell order is filled. If we aimed for an "early entry" trade, as described above, then we hold on until the stock climbs above the RevL, and then it becomes a normal Buy/Sell trade to be continued as such.

2 – MoM turns up from its low, but the stock is not doing much. Then MoM turns back down.

In this situation we have to be careful. If the stock is still on spBuy we can hold on but it becomes more risky. If our stock is not acting right then we can set a mental stop, or use the most recent significant low as a stop loss sell price. It is better to err on the side of caution.

Because a stock on spBuy is still in bearish mode, and can always continue lower if the rebound sputters or fails.

3 – MoM turns up from its low and keeps going up gradually, but the stock stubbornly chops sideways.

Sometimes MoM keeps inching up for a week or more, and the stock doesn't climb. And because MoM doesn't turn down we may think that everything looks OK. But this can be tricky. Time runs out on such situations. As MoM approaches the zero line it is likely to turn back down at some point. That tells us it is probably just a sideways pause in an ongoing bear market. If our stock is doing that, and MoM slows down just below zero, then it's better to get out near breakeven (if we still can), or take the small loss. There is always a next chance.

4 – MoM turns up from its low and our QuickTarget price is reached very quickly.

Wonderful, we sold at a profit. And then the stocks climbs above its RevL and goes into bullish mode. And we may already regret selling so early for a quick 5%. The solution for this is given in the Opportunist method (PDF #6). With the stock in bullish mode we can put in a Buy limit order, using the Opportunist price, to buy back the stocks we sold a few days ago. That will not always work. But sometimes we will get our stock back at an entry price that is lower than our previous QuickTarget sell. Twice lucky.

A few final comments

As you can see, this is a much more active method of trading, but it can still be done on an end of day basis (no need to check prices every 15 minutes). We put in our orders and let our strategy work. Using a low cost broker will obviously be important because this is frequent trading.

The key to succeeding with this method lies in persistence. Keep taking good quality chances and manage them properly. When in doubt, get out, and take the next chance. Selecting the better candidates, per the criteria given above, is important. Trade and learn.

A spBuy signal in a perpetually weak stock (years of negative R) is less likely to work. But sometimes all the bad news is priced in and even the worst of stocks may mount a strong rally out of nowhere, especially if something forces shorts to cover.

Studying the daily and weekly charts in our tables, which show the history of MoM over the years, is a good way to see how a stock typically behaves after important MoM lows. (more on that in PDF #9 and #10).

Near major bottoms in the stock market the number of spBuy+ and spBuy++ signals will typically go up significantly. So, that's useful as an indication that the overall market is reaching a major low. See also PDF #5 about Market Stats.

SpBuy trades can be done solely on the basis of the weekly reversal levels file too. That is longer term speculative trading with holding periods of 1 to 10 weeks. The approach is the same, but everything is done on a week by week basis, negating the signals from the daily reversal levels files. The weekly QuickTarget price would be entered as Limit Sell order at the start of each week.

This method comes with the longest learning curve. We can not describe all the possible situations and variations. They can only be learned by doing. And it is very useful to keep a trading log or diary for this type of trades. Later on we can study what went right or wrong.

Setting the QuickTarget multiplier.

You can set the multiplier in the settings at the top of the html page.

The default is 0.4, but you can chose a different value, which will also make your Sell limit orders slightly different from other reversal levels traders. There is a wide sweet spot of values that will work. Lower values make for shorter holding periods and smaller profits, but also a higher win% because the target is easier to reach.

Here is how to chose the multiplier:

* Use 0.10 - 0.3 for very quick trades and a higher % of winning trades, but smaller average wins. The typical holding period will be 1 to 5 days. If a trade has not reached its QuickTarget after 5 trading days then getting out near breakeven is a good idea. It’s important not to get caught in a bigger loss too often because the profits we take are small. When using a small multiplier we recommend sticking to the spBuy candidates with upward MoM (like HALO in the example above).

* Use 0.3 - 0.6 for somewhat longer trades and bigger gains, but a lower % of winning trades. The typical holding period will be 1 to 10 days.

* Use 0.6 - 0.9 to use spBuy+ and spBuy++ signals for longer term bottom fishing. We can take a partial profit as our QuickTarget gets reached and hold the rest for a longer term trade. If a regular Buy signal follows we are in from a very low price and can then handle the trade as a normal Buy/Sell per the Basic Strategy (PDF #1).

Notes:

1 – If you change your QuickTarget or Opportunist multiplier you will need to reload the page for the changes to take effect.

2 – It is standard to set the Opportunist multiplier at a higher value than the QuickTarget multiplier. But nothing will go wrong if you don't stick to that. The defaults are 0.4 for QuickTarget and 0.6 for Opportunist.

3 – There is no optimal value for QT and OP multiplier. It varies with the market conditions.

4 – It's possible to opt for different multiplier values in the weekly file. They do not need to be identical with what you use in the daily file. The multiplier values will be kept in local storage in your browser, provided you put our html files in a dedicated folder on your device and always use the same browser to open them.

As always, comments and feedback are welcome. Just reply to any of our daily emails.

© https://www.reversallevels.com/